

⁵ The definitive source on brokerage costs is the Plexus Group of Santa Monica, California, and its website, www.plexusgroup.com. Plexus argues persuasively that, just as most of the mass of an iceberg lies below the ocean surface, the bulk of brokerage costs are invisible—misleading investors into believing that their trading costs are insignificant if commission costs are low. The costs of trading NASDAQ stocks are considerably higher for individuals than the costs of trading NYSE-listed stocks (see p. 128, footnote 5).

⁶ Real-world conditions are still more harsh, since we are ignoring state income taxes in this example.

⁷ Barber and Odean's findings are available at <http://faculty.haas.berkeley.edu/odean/Current%20Research.htm> and <http://faculty.gsm.ucdavis.edu/~bmbarber/research/default.html>. Numerous studies, incidentally, have found virtually identical results among professional money managers—so this is not a problem limited to “naïve” individuals.

⁸ See www.microsoft.com/msft/stock.htm, “IPO investment results.”

⁹ Jay R. Ritter and Ivo Welch, “A Review of IPO Activity, Pricing, and Allocations,” *Journal of Finance*, August, 2002, p. 1797. Ritter's website, at <http://bear.cba.ufl.edu/ritter/>, and Welch's home page, at <http://welch.som.yale.edu/>, are gold mines of data for anyone interested in IPOs.

¹⁰ Message no. 9, posted by “GoldFingers 69,” on the VA Linux (LINUX) message board at messages.yahoo.com, dated December 16, 1999. MSFT is the ticker symbol for Microsoft Corp.

^{*} As already noted (see p. 96, footnote †), the New Housing Authority and New Community bonds are no longer issued.

[†] Today these “lower-quality bonds” in the “special situation” area are known as distressed or defaulted bonds. When a company is in (approaching) bankruptcy, its common stock becomes essentially worthless, since U.S. bankruptcy law entitles bondholders to a much stronger legal claim than shareholders. But if the company reorganizes successfully and comes out of bankruptcy, the bondholders often receive stock in the new firm, and the value of the bonds usually recovers once the company is able to pay interest again. Thus the bonds of a troubled company can perform almost as well as the common stock of a healthy company. In these special situations, as Graham puts it, “no true distinction exists between bonds and common stocks.”(or

^{*} Note very carefully what Graham is saying here. Writing in 1972, he contends that the period since 1949—a stretch of more than 22 years—is too short a period from which to draw reliable